

their nations then they can easily have them blocked by not allowing currency conversion between Bitcoins and local currency.

This can have two possible outcomes - firstly, people who use Bitcoins partially would be forced to limit their Bitcoin transactions to only the online world due to its lack of usability in their real life, and secondly, it may force people to shift to a predominantly Bitcoin

oriented lifestyle. This second possibility can only exist if there are enough merchants and service providers who are willing to accept Bitcoins for services. But given the abrupt nature of the currency so far and its conflict with governments in general, it is unlikely that Bitcoin would find mainstream existence if a government decides to kill it.

Financial regulations are intended to retain control over a nation's wealth and that includes the wealth of its citizens. From taxes on all sorts of money, such as income, sales, duties etc. Bitcoin is a way for people to cut out the government from its finances. In India, this isn't that significant of an issue due to the extreme minority of people who access the internet and therefore can use Bitcoin.

However if a large number of taxpayers in the top bracket, who are technologically friendly, start using Bitcoin and other alternative currencies to dodge their dues to the tax department, then it isn't hard for the government to shut down access to Bitcoin. Since the Bitcoin community is so small it wouldn't be difficult for governments to ignore it on the grounds of protecting the nation's interest.

Abroad however the issues may be far more complex since access to the internet and online censorship is highly criticized by the citizens of those nations.



The cost of unregulated currency is the risk of irretrievable loss. If users accept this only then can the currency survive.

Risks and benefits

Bitcoin is at a very critical stage of its evolution. It has already shown that for some it can yield tremendous profit ever since its price rapidly went up in a short period of time, and in other cases it has shown how easily such fortunes are lost. The risks are inherent but in the long run there are only